

Week ending: 10th September 2021

Weekly Fixed Income Note

Key Highlight:

T-bills remained undersubscribed for the third week running with an overall subscription rate decreasing to **72.65%** compared to the **99.48%** recorded last week. The **91-day** T-bill was oversubscribed recording **172.53%**, while the **182-day** and the **364-day** T-bills were undersubscribed recording **77.03%** and **28.31%,** respectively. We continue to see a sustained appetite for borrowing by the government as evidenced by the CBK accepting all the **KES 17.43 Bn** worth of bids received. Notably, all the yields maintained their upward momentum with the **91-day, 182-day** and **364-day** rates edging up by **0.70bps, 2.70bps** and **26.00bps** to **6.78%, 7.25%** and **7.78%**, respectively.

In the primary bond market, the recently issued infrastructure bond **IFB1/2021/21**, recorded an impressive performance with an oversubscription rate of **201.67%,** in line with our expectation. The oversubscription was attributable to the tax-free nature of the bond and the prevailing high liquidity in the market. The coupon rate for the bond came in at **12.74%** with the bond also recording a similar yield, which was within our recommended bidding range. The government continued rejecting expensive bids by accepting **KES 106.75 Bn** of the **KES 151.26 Bn** worth of bids received, representing an acceptance rate of **70.58%.**

In the secondary market, the value of bonds traded increased by **6.48%** to **KES 11.50Bn** from **KES 10.80Bn** recorded last week. On a year-to-date basis the Yield Curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.62** taking the YTD loss to **1.43%.**

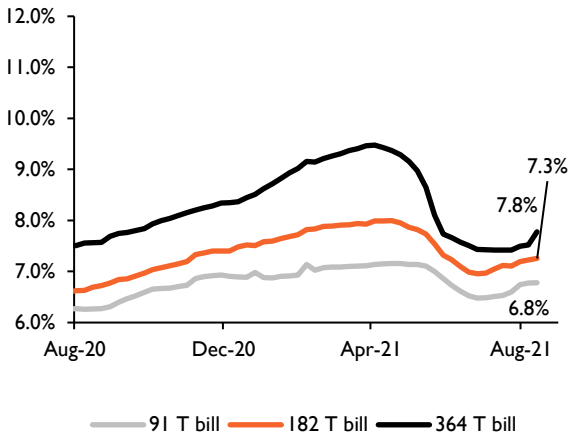
We expect heightened activity at the secondary bond market, in the coming weeks, as investors whose primary issue bids in the infrastructure bond were unsuccessful search for entry positions on IFB1/2021/21. Additionally, we expect some profit taking form the successful bidders. Continued borrowing by the government is likely to put some upward pressure across the yield curve, in the near term.

Macroeconomic data	Current	Previous
GDP (2020 vs. 2019)	(0.30%)	5.00%
Inflation (August)	6.57%	6.55%
Private sector credit growth (June)	7.70%	7.10%
Money Supply (June)	6.30%	7.60%

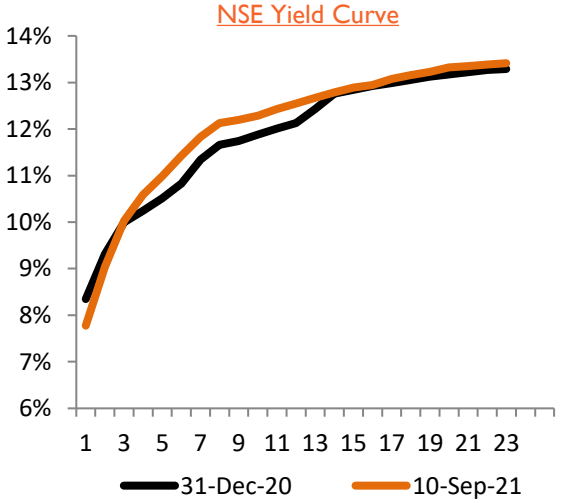
Key Indicators

	Current	Previous	% Change
91- Day	6.78%	6.77%	0.01%
182-Day	7.25%	7.23%	0.03%
364-Day	7.52%	7.52%	0.26%
Interbank Rate	3.65%	3.33%	0.32%

T-Bill Rates



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling gained against the dollar this past week appreciating by **0.10%** to trade at **109.87** from **109.99** at the close of last week. The marginal gain against the dollar can be partly attributable to dollar inflows from foreign investors into the Infrastructure bond issue which outweighed outflows from energy and general importers. The CBK's usable forex reserves currently stand at **USD 9,629** million (**5.89** months of import cover), an **8.40%** week-on-week increase from **USD 8,883** million (**5.43** months of import cover) recorded last week.

We expect the Infrastructure bond inflows to support the shilling in the coming week. However, still expect the local currency to continue under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the money markets tightened, during the week, as evidenced by the average interbank rate increasing to **3.65%** from **3.33%** recorded in previous week. The central Bank was in action to mop up excess liquidity having Terminal Auction Deposit (TAD) maturities of KES 107.38 Bn, with the 7-day TAD Rates touching a high of **5.47%**.

We expect the interbank rate to touch the region of 4.00%, in the coming week, mainly driven by the settling of successful bids in the recently issued and oversubscribed Infrastructure bond, as well as the beginning of the monthly banks CRR cycle.

2020 GDP Growth Figures

GDP Growth receded by **(0.3%)** in 2020 from **5.0%** in the corresponding period of 2019. The depressed economic performance reflected the negative effects of the pandemic on the various sectors. The negative growth was mainly driven by dismal performances by sectors such as; Accommodation and food services, Education, as well as Transport and storage, which contracted by **(47.7%)**, **(10.8%)** and **(7.8%)**,respectively. The performance recorded by this sectors was expected as they were the most severely affected by the pandemic. However, the decline was mitigated by growths recorded by sectors such as Construction, Health Services and Agriculture which grew by**11.8%**, **6.7%** and **4.8%** ,respectively. For a further analysis see our GDP Note by clicking here

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